

# Dividends and Corporate Actions

Indian stock market research workbook

A clean study guide built from our discussion. It explains dividend types, the full dividend flow, how dividend dates work, how stock prices usually react, the difference between bonus, split, rights issue, and buyback, where to track the latest dividend announcements, and a research-ready template you can later use for algo or manual analysis.

|                  |                                                                                                |
|------------------|------------------------------------------------------------------------------------------------|
| What this covers | Dividend basics, dates, examples, price behavior, and tracking sources                         |
| What this is not | A promise of free profit from dividend capture                                                 |
| Important note   | A full 200+ event price-series appendix needs exchange/API export; this workbook gives the fra |

Prepared for study and review

# 1. Main corporate actions

Corporate actions are decisions taken by a listed company that directly affect shareholders. Some actions pay cash. Some change the number of shares. Some raise money. Some return money.

| Event        | What you get                         | Do you pay? | Share count changes? | Core idea                                    |
|--------------|--------------------------------------|-------------|----------------------|----------------------------------------------|
| Dividend     | Cash                                 | No          | No                   | Company distributes part of profit           |
| Bonus issue  | Free extra shares                    | No          | Yes                  | Company converts reserves into share capital |
| Stock split  | More smaller shares                  | No          | Yes                  | One share is divided into smaller units      |
| Rights issue | Option to buy discounted shares      | Yes         | Yes if subscribed    | Company raises money from existing holders   |
| Buyback      | Exit option at company buyback price | No          | Market float reduces | Company repurchases its own shares           |

**Bottom line:** dividend is cash, bonus is free shares, split changes the denomination of shares, rights issue asks you for money, and buyback is the company buying back stock.

## 2. Types of dividends

A company can announce dividends in almost any month. In practice, they often appear around result dates and board meetings.

| Type             | When it usually appears          | What it means                                                     |
|------------------|----------------------------------|-------------------------------------------------------------------|
| Interim dividend | During the financial year        | Board declares a payout before year-end                           |
| Final dividend   | After annual results / AGM cycle | Usually tied to year-end profits                                  |
| Special dividend | Any time                         | Extra payout when the company has surplus cash or a special event |

Indian exchanges and market sites routinely list dividend announcements with the amount per share and the ex-date. For example, current March 2026 corporate-action listings show entries such as IOC interim dividend of Rs 2 and Sun TV interim dividend of Rs 1.25 with 12 March 2026 as the ex-date on NSE and Moneycontrol.

## 3. Dividend flow: from announcement to payment

This is the exact sequence you need to understand. Most confusion disappears once this flow is clear.

| Step                  | What happens                         | What you need to know                                     |
|-----------------------|--------------------------------------|-----------------------------------------------------------|
| 1. Board announcement | Company declares the dividend amount | The amount is generally announced per share               |
| 2. Ex-date fixed      | Exchange shows the ex-dividend date  | Buying on or after ex-date usually means no dividend      |
| 3. Record date        | Company checks eligible holders      | Demat records are used to identify holders                |
| 4. Payment / dispatch | Dividend is credited or dispatched   | Cash goes to linked bank account or via warrant if needed |

**Critical rule:** if you buy before the ex-date and then sell on the ex-date, you generally still receive the dividend. What matters is that you were entitled before the stock turned ex-dividend. That does *not* mean free profit, because price usually adjusts.



## 4. What usually happens to price around a dividend

This is where beginners get trapped. A dividend is not free money. On the ex-dividend date, price usually adjusts by roughly the dividend amount, though the market can deviate from that because of sentiment, trend, broader market movement, and liquidity.

| Stage               | Typical behaviour                                                                |
|---------------------|----------------------------------------------------------------------------------|
| Before announcement | Price trades on normal expectations, results, and sentiment                      |
| After announcement  | Sometimes a mild positive reaction if the payout is stronger than expected       |
| Ex-date             | Price often adjusts downward because new buyers are not entitled to the dividend |
| After ex-date       | Strong stocks may recover the adjustment over days or weeks; weak stocks may not |

NSE's derivatives corporate-action adjustment note explicitly says the full value of the dividend is deducted from cum-dividend strike prices on the ex-date for options contracts. That is the cleanest official hint that ex-date price adjustment is real, not a beginner myth.

## 5. Current sourced examples you can inspect

Below are current examples visible on live corporate-action listings at the time of writing. These are useful because they show how exchanges and market sites present dividend events in the real world.

| Source view                               | Example entries visible                                                                                |
|-------------------------------------------|--------------------------------------------------------------------------------------------------------|
| NSE corporate filings - corporate actions | SUN TV interim dividend Rs 1.25, IOC interim dividend Rs 2, RSYSTEMS interim dividend Rs 1.25          |
| Moneycontrol dividends declared           | IOC announcement date 06/03/2026 ex-date 12/03/2026, Sun TV announcement 06/03/2026 ex-date 12/03/2026 |
| Screener dividend-yield screens           | Examples of higher-yield names currently shown include Coal India, REC Ltd, Hindalco                   |

Use these only as live examples of where the information appears. For serious backtesting, you need your own exported event log plus daily OHLC data.

## 6. Bonus vs split vs rights issue vs buyback

| Action | One-line difference                                         |
|--------|-------------------------------------------------------------|
| Bonus  | You receive extra shares for free; reserves are capitalised |

|              |                                                                         |
|--------------|-------------------------------------------------------------------------|
| Split        | Same ownership value split into more smaller shares; face value changes |
| Rights issue | You are invited to pay for discounted shares in proportion to holdings  |
| Buyback      | Company buys shares back from holders or from the market                |

**Most important distinction:** bonus and split both increase your visible share count, but they are not the same. In a split the face value changes. In a bonus the company uses reserves to issue new shares.

## 7. Where to track latest dividend news properly

| Priority | Source                                    | Why it matters                                       |
|----------|-------------------------------------------|------------------------------------------------------|
| 1        | NSE corporate actions / corporate filings | Official exchange listing and ex-date visibility     |
| 2        | BSE corporate actions / corporates page   | Official exchange view and company announcements     |
| 3        | Moneycontrol corporate actions            | Readable aggregation of announcements and ex-dates   |
| 4        | Screener company pages and screens        | Dividend history, yield filters, and quick screening |

Do not rely on random social media posts for dividends. Exchanges publish the authoritative trail, then broker apps and market sites surface it in cleaner form.

## 8. Research workbook starter for later analysis

You asked for a deeper research-style document. Here is the structure that actually matters if you want to study dividends seriously later.

| Field                           | Why you need it                        |
|---------------------------------|----------------------------------------|
| Symbol                          | Company identifier                     |
| Announcement date and time      | Measures reaction timing               |
| Dividend amount per share       | Core event size                        |
| Ex-date                         | Main price-adjustment date             |
| Record date                     | Eligibility verification               |
| Payment date                    | Cash-credit timeline                   |
| Close price 5d, 1d before event | Pre-event behaviour                    |
| Ex-date close and next 5 closes | Adjustment and recovery pattern        |
| Dividend yield at announcement  | Normalises event size across companies |

| Symbol | Ann. date   | Dividend | Ex-date     | Close -1d | Ex-date close | 5d after close | Notes                  |
|--------|-------------|----------|-------------|-----------|---------------|----------------|------------------------|
| IOC    | 06 Mar 2026 | 2.00     | 12 Mar 2026 | ...       | ...           | ...            | Current example from M |

|          |             |      |             |     |     |     |                        |
|----------|-------------|------|-------------|-----|-----|-----|------------------------|
| SUNTV    | 05 Mar 2026 | 1.25 | 12 Mar 2026 | ... | ... | ... | Current example from M |
| RSYSTEMS | 06 Mar 2026 | 6.00 | 12 Mar 2026 | ... | ... | ... | Current example from M |

I am not pretending the missing price cells are complete. Filling them correctly needs a clean historical price source or broker/export/API. That is the honest way to build a serious 200+ event study.

## 9. Source notes

Key sources referenced for this workbook:

| Source                                       | What it supported                                                                      |
|----------------------------------------------|----------------------------------------------------------------------------------------|
| NSE corporate actions / corporate filings    | Official corporate-action listings and live ex-date examples                           |
| Moneycontrol dividends declared              | Readable current dividend examples with announcement dates and ex-dates                |
| Screener dividend-yield screens              | Current examples of higher-yield Indian stocks                                         |
| NSE derivatives corporate-action adjustments | Official confirmation that dividend value is reflected in ex-date contract adjustments |
| BSE corporate-action educational PDF         | Definitions of interim and final dividend                                              |

Practical takeaway: learn the mechanics first, then build the dataset. If you skip the dataset quality step, you will fool yourself.